

Refinancing Policy

Last updated: January 2025

Overview

Refinancing replaces an existing loan with a new one, usually to lower the interest rate, reduce the monthly payment, change the term, or access equity. This policy covers mortgage and auto refinancing: when it makes sense, eligibility, the process, costs, and the trade-offs to consider.

1. Reasons To Refinance

1.1 Lower The Rate

If market rates or the borrower's credit have improved since origination, refinancing to a lower rate reduces interest paid over the life of the loan.

1.2 Lower The Monthly Payment

Extending the term lowers the monthly payment, which can ease cash flow, though it may increase total interest paid.

1.3 Shorten The Term

Refinancing from a longer term to a shorter one (for example, 30-year to 15-year mortgage) increases the monthly payment but reduces total interest and builds equity faster.

1.4 Switch Loan Type

Borrowers may refinance from an adjustable-rate to a fixed-rate loan for payment stability, or remove mortgage insurance once enough equity has built up.

1.5 Cash-Out Refinance

A cash-out refinance replaces the loan with a larger one and returns the difference to the borrower in cash, drawing on home equity. The new loan must stay within loan-to-value limits.

2. Eligibility

2.1 Credit And Income

Refinancing requires a new application and a fresh review of credit, income, and debt-to-income ratio, using the standards in the Loan Eligibility And Credit Policy.

2.2 Equity And Loan-To-Value

For a mortgage refinance, sufficient equity is required. Rate-and-term refinances generally allow higher loan-to-value than cash-out refinances. For an auto refinance, the vehicle must meet current age, mileage, and value requirements.

2.3 Payment History

A history of on-time payments on the existing loan strengthens a refinance application. Recent late payments may delay or prevent approval.

2.4 Seasoning

Some products require the existing loan to be open for a minimum period (seasoning) before refinancing. Any seasoning requirement is disclosed at application.

3. The Refinance Process

3.1 Application

The borrower submits a new application with current income, asset, and identity documentation. The existing loan details are also required.

3.2 Appraisal (Mortgage)

A mortgage refinance generally requires a new appraisal to confirm the property's current value and the resulting loan-to-value ratio. Some streamlined programs waive the appraisal.

3.3 Underwriting

Underwriting reviews the application against current standards and may issue conditions to be satisfied before approval.

3.4 Closing And Payoff

At closing, the new loan funds and pays off the existing loan. For a primary-residence mortgage refinance, a three-business-day right of rescission applies before funds are disbursed.

4. Costs And Break-Even

4.1 Refinance Costs

Mortgage refinances involve closing costs (appraisal, title, origination, recording) typically ranging from 2% to 5% of the loan amount. Auto refinances have lower costs, mainly title and lien re-recording fees.

4.2 Break-Even Analysis

The break-even point is the time it takes for monthly savings to recover the refinance costs. Refinancing usually makes sense when the borrower expects to keep the loan past the break-even point.

4.3 No-Closing-Cost Option

Some mortgage refinances offer a no-closing-cost option in which costs are rolled into the loan balance or offset by a slightly higher rate. This avoids upfront cost but increases the balance or rate.

5. Trade-Offs To Consider

5.1 Resetting The Term

Refinancing into a new full-length term can increase total interest even at a lower rate, because the repayment clock restarts. Compare total cost, not just the monthly payment.

5.2 Cash-Out Risk

A cash-out refinance increases the loan balance and uses home equity. Using the proceeds for non-appreciating expenses reduces net worth and increases the amount at risk in a default.

5.3 Loss Of Existing Terms

Refinancing replaces the existing loan entirely, including any favorable terms. Government-backed loans converted to conventional financing lose program-specific protections.

6. After Refinancing

6.1 Old Loan Closed

The prior loan is paid in full and reported as closed. The borrower should confirm the payoff posted and that no balance remains.

6.2 New Loan Servicing

The new loan follows the Repayment Policy. Borrowers should set up autopay on the new account and verify the first payment date to avoid an unintended late payment during the transition.

7. Contact

To discuss refinancing options, contact our lending team Monday through Friday 8 AM to 7 PM by phone at 1-800-555-0167, by secure message in the online portal, or by email at refinance@bankexample.com.